

AI in Business: Individual Project Assignment



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1. Introduction

Company Overview

Amazon is a global leader in e-commerce, cloud computing, and digital services. It operates in over 100 countries and serves millions of customers daily through its online marketplace, logistics network, and platforms like AWS.

Key Business Challenges

- Managing complex global supply chains
- Rising transportation and operational costs
- Delivering personalized customer experiences at scale
- Maintaining efficiency with massive product inventories

Why AI is Important for Amazon

Artificial Intelligence is central to Amazon's operations. It enables:

- Demand forecasting and inventory optimization
- Personalized product recommendations
- Automated warehouses and delivery systems
- Cost and pricing optimization

AI allows Amazon to make **fast, data-driven decisions**, which is critical at its scale.

2. Business Functions & AI Prompts

➤ Finance Function

Role in Amazon

The finance department is responsible for:

- Cost control and profitability
- Pricing strategies
- Budget planning
- Financial forecasting

AI Prompt

“You are a financial analyst for Amazon. Analyze how rising fuel and logistics costs impact overall profitability. Suggest three cost-reduction strategies that maintain customer satisfaction and fast delivery. Provide estimated financial impact and risks for each strategy.”

Why This Prompt is Relevant

Amazon relies heavily on logistics. Rising fuel and shipping costs directly affect profits. This prompt simulates a real-world financial decision scenario.

AI Response (Example Summary)

- Optimize delivery routes using AI-based logistics systems
- Increase use of local warehouses to reduce shipping distance
- Introduce dynamic pricing for delivery services

Analysis of AI Output

The AI provides **clear and actionable strategies**:

- The suggestions are realistic and already align with Amazon practices
- It connects operational changes to financial outcomes

➤ B. Marketing Function

Role in Amazon

Marketing focuses on:

- Customer acquisition and retention
- Personalized recommendations
- Advertising campaigns
- Brand positioning

AI Prompt

“Act as a marketing strategist for Amazon. Create a personalized marketing strategy using customer purchase history and browsing behavior. Suggest three AI-driven techniques to increase customer engagement and sales.”

Why This Prompt is Relevant

Amazon’s success heavily depends on personalization. AI-driven marketing is one of its strongest competitive advantages.

AI Response (Example Summary)

- Product recommendation systems (based on past behavior)
- Targeted email campaigns
- AI-powered ad personalization

Analysis of AI Output

The AI provides **highly relevant and practical strategies**:

- These methods are already used by Amazon (e.g., recommendation engine)
- Strong focus on customer behavior data

➤ C. Operations Function

Role in Amazon

Operations manage:

- Warehousing and inventory
- Supply chain logistics
- Delivery systems
- Order fulfillment

AI Prompt

“You are an operations manager at Amazon. Suggest how AI can improve warehouse efficiency and delivery speed. Provide three solutions and explain their impact on cost and customer satisfaction.”

Why This Prompt is Relevant

Amazon’s operational efficiency is a key competitive advantage. AI plays a major role in automation and logistics.

AI Response (Example Summary)

- AI-powered robots in warehouses
- Demand forecasting systems
- Route optimization for delivery

Analysis of AI Output

The AI provides **strong, real-world applicable solutions**:

- These technologies are already used by Amazon
- Clear impact on speed, cost, and efficiency

3. AI Response Analysis (Overall)

Across all functions, AI demonstrates:

Strengths

- Fast and data-driven insights
- Scalable solutions
- Practical business applications

Weaknesses

- Lack of real-time company-specific data
- Potential bias in decision-making
- Overgeneralization in some responses

Overall Evaluation

AI is a **powerful decision-support tool**, but not a replacement for human judgment.

4. Conclusion & Recommendations

Effectiveness of AI in Amazon

- AI significantly improves efficiency, personalization, and profitability
- It enables Amazon to maintain its global competitive advantage

Recommendations

- Invest in higher-quality and real-time data
- Improve transparency in AI decision-making
- Combine AI insights with human expertise

Risks & Ethical Concerns

- Data privacy issues
- Algorithmic bias
- Over-reliance on automation